An Alternative to Shareholder Capitalism? A Review of Alex Edmans' "Grow the Pie: How Great Companies Deliver Both Purpose and Profit"

Hamid Boustanifar

EDHEC Business School

forthcoming in the Journal of International Financial Management and Accounting

Abstract: Alex Edmans' "Grow the Pie: How Great Companies Deliver Both Purpose and Profit" provides an alternative approach to business called Pieconomics. Profits to shareholders play a critical role in Pieconomics (similar as in shareholder capitalism), but the goal of an enterprise is to maximize the *social* value it creates (somewhat similar as in stakeholder capitalism). This review discusses and critically evaluates this thesis.

Keywords: Purposeful business, sustainable business, corporate social responsibility

JEL Classification: D2, D6, G11

Electronic copy available at: https://ssrn.com/abstract=4437765

Introduction

Job stress is estimated to cause 120,000 excess deaths each year in the US alone, costing employers more than $300 billion annually (Pfeffer 2018). Management practices contributing to this stress not only hurt employees but also diminish firm performance, a lose-lose situation. Many business leaders seeking to maximize shareholder profit act as if the total available profit is fixed, hence their decision to exploit other stakeholders such as employees. This is what Edmans calls a *pie-splitting* mentality. He offers an alternative approach, Pieconomics, relying on a *pie-growing* mentality whereby a company's goal is to create value for society, of which profit to shareholders is only one part. Interestingly, Edmans argues, companies following a pie-growing mentality will often be more profitable (as a by-product of serving society) than companies with the mindset of profit maximization.

Do we really need an alternative approach to business?

Although many leaders follow pie-splitting practices, these practices are often inconsistent with shareholder value maximization. If investing in stakeholders such as employees or communities is important for the long-term success of a business, firms under shareholder capitalism must undertake these investments, as shareholders are entitled to both short-term and long-term profits. That is precisely why Friedman (1970) states that "in practice the doctrine of social responsibility is frequently a cloak for actions that are justified on other grounds [maximizing shareholder value] rather than a reason for those actions."

Therefore, the strongest criticism of Pieconomics is that if investing in stakeholders indeed generates more profits for businesses, then companies in the world of Milton Friedman will logically undertake those investments and become "socially responsible." If this is the case, do we really need an alternative approach to shareholder capitalism?

Edmans recognizes shareholder capitalism as an excellent theoretical framework, but his main argument is that it does not work in practice. He argues that while profits are easy to measure ex post, they are very hard to estimate looking forward, particularly for investments in intangible assets (e.g., human capital). For instance, a company that is considering extending parental leave for its employees needs to identify and quantify the effect of such an extension on everything that

Electronic copy available at: https://ssrn.com/abstract=4437765

affects profits (employee stress, satisfaction, motivation, turnover, productivity, etc.) as well to estimate an appropriate discount rate to be able to compute the net present value (NPV) of this investment. Consequently, many profitable investments under shareholder capitalism would not be undertaken because it is difficult to measure and thus justify their profitability.

In Pieconomics, however, since the motivation is intrinsic (i.e., stakeholders are the end rather than a means to an end), many profitable investments that would not be justified based on computations will be undertaken. Nonetheless, Edmans realizes that not every single decision a pie-growing company takes will ultimately pay off. But aiming to generate profits *only* by creating value for society, in aggregate, leads to more profits than following the mindset of profit maximization. Edmans provides numerous powerful cases and examples supporting this assertion.

Which stakeholders to prioritize?

A valid criticism of stakeholder capitalism is its lack of guidance on how a manager should navigate difficult trade-offs and choose between many possible ways of being socially responsible. Pieconomics, however, offers three principles guiding leaders on which investments to undertake. (1) The principle of *multiplication* requires that a $1 investment in a stakeholder (e.g., providing free food for employees) be worth more than $1 to the stakeholder. Otherwise, it's better to give the money directly to the stakeholder. (2) The principle of *comparative advantage* asks, is the company better suited than others to undertake that activity? Companies typically have a comparative advantage over activities they directly control (e.g., their use of resources) or due to their expertise in a particular field. (3) The principle of *materiality* asks whether the stakeholder is important, either to the company's long-term value creation or because the company intrinsically cares about it. Recognizing intrinsic materiality implies that an enterprise under Pieconomics may choose an action that lowers its forecastable profit at the benefit of stakeholders whom it intrinsically cares about. All three principles are needed to justify an investment.

Edmans criticizes shareholder capitalism, arguing it doesn't work in practice, but is decision-making more practical under the aforementioned principles? The answer seems to be yes, since Pieconomics eliminates the need to calculate the effect of investment on profits. All it requires is for the business to recognize which stakeholders are material and which issues are material to the

Electronic copy available at: https://ssrn.com/abstract=4437765

stakeholder. For example, if the community is a material stakeholder for a firm and pollution is a material issue for the community, the decision to reduce pollution is easily justified under Pieconomics. In shareholder capitalism, in contrast, the firm must estimate all the potential future benefits and costs of this action and will decide to reduce pollution only if the estimated future benefits exceed the costs. Importantly, Edmans argues that the pie-growing firm needs to make decisions with multiple stakeholders in mind, using judgement (not calculation). This is something that may make many students and teachers of finance uncomfortable, as we are trained to derive closed-form solutions for problems in textbooks. While surely useful in some contexts, such frameworks and computations often have little relevance in practice; perhaps it's time to shift to learning less "concrete" but more practically relevant materials!

Overall, Edmans argues that the principles of Pieconomics provide a fair compromise between the "concrete but practically unworkable" calculations of shareholder capitalism and the "flexible but arbitrary judgement" of stakeholder capitalism.

Evidence-based arguments

Edmans dedicates a significant part of the book to highlighting the importance of large-scale evidence based on rigorous academic research. He then provides such evidence supporting the idea that companies driven by purpose also deliver more return to their shareholders in the long term. While I understand Edmans' intention to demonstrate that his thesis is not wishful thinking but consistent with evidence, I believe too much focus on it creates unnecessary complications. More specifically, Pieconomics is an approach to running a business whose principles (e.g., materiality) make perfect sense in and of themselves and are valid regardless of the existence or non-existence of evidence. Edmans, however, relies heavily upon a single academic study (Khan et al. 2016) to show that there is evidence consistent with the materiality principle. But even if it turns out that the result of that study is not robust (Berchicci and King 2022), this does not necessarily invalidate the principle of materiality. Rather it could signal that the business materiality map used in the research is inaccurate. In the end, whether the evidence exists or not does not change the basic argument, and thus reliance on evidence in such a situation just makes the argument unnecessarily vulnerable. This is particularly important given that many results of prior literature (e.g.,

Electronic copy available at: https://ssrn.com/abstract=4437765

outperformance of a particular type of firms) do not replicate post-publication and sometimes even with the original sample.

Therefore, focusing on examples and case studies is perhaps a much more powerful and reliable way to argue the strengths and weaknesses of frameworks such as Pieconomics, which are not refutable. Nevertheless, Edmans' reliance on evidence to answer open questions such as whether buybacks or shareholder activism is consistent with the pie-growing mentality is clearly necessary.

Putting into practice

The book devotes a fair amount of attention to how the suggested ideas and principles could be put into practice. In particular, Edmans discusses in detail how important corporate purpose and culture are, and that when these are well defined, decision-making to grow the pie is straightforward. The following case makes the point. In 2014, CVS Pharmacy decided to remove tobacco from all its 7600 stores, with the consequent reduction of $2 billion in revenue from cigarette sales. This seemingly crazy decision was made because the firm's purpose was clearly defined as "helping people on their path to better health" and, as related by CEO Larry Merlo, "the sale of tobacco products is inconsistent with our purpose." The move to eliminate tobacco not only helped society but also led CVS to shift to quality health care that created "longer-term growth opportunities," according to its CEO. Consequently, CVS's sales rose from $139 billion in 2014 to $185 billion in 2019 and $204 billion in 2021. Edmans puts it nicely when stating: "founding an enterprise on purpose inspires it to take crazy, but ultimately profitable, decisions and gives it a lasting competitive advantage that no rival can imitate."

Applying the idea to other contexts

The last chapter of the book is the most intriguing. Edmans shows how the pie-growing mentality, unlike other alternatives, is applied nicely to many contexts other than business, including macroeconomic policy, interpersonal dynamics, mindset, and career choice. He also touches on several very important issues that distinguish Pieconomics from mainstream economic thinking. Importantly, Edmans emphasizes that his version of "grow the pie" and the same expression commonly used in macroeconomics are quite different. In macroeconomics, the pie is the wealth

Electronic copy available at: https://ssrn.com/abstract=4437765

of the nation, policymakers should focus only on increasing growth, and redistribution should be done only when it helps support growth (e.g., providing subsidized university education). However, Edmans' definition of the pie is social value, and hence he recognizes that social welfare depends not only on the size of the pie, but also its distribution. So, in contrast to mainstream economic thinking, Edmans argues that redistribution for its own sake can be desirable (e.g., taxing top income earners), even if there are disincentive effects as long as they are not major.

Final words

Although we have a primary responsibility to our families, as individuals we are comfortable making decisions every day keeping multiple stakeholders (our neighbors, friends, community, colleagues, etc.) in mind. Some of us may try to exploit others as much as possible (the pie-splitters), some might consider others only if they can estimate that the consideration creates a benefit for them (as in shareholder capitalism), and some are purposeful citizens, i.e., considering stakeholders and contributing to them even if they cannot predict a return (like a pie-grower). Evidence suggests that purposeful citizens tend to be more successful than the other two groups (Grant 2014). Applying this finding to businesses, Edmans argues that pie-growers in the business world with a clear purpose not only serve society, but also become more profitable, as a by-product, than others.

Edmans discusses in detail the role of investors, governments, and citizens along with businesses in creating a socially responsible society. One missing point is the role of accountants. Accounting rules treat investments in intangible assets (human capital, brand-name, customer relationships) as operating expenses, typically reported as part of selling, general, and administrative (SG&A). As a result, an increase in these investments leads to higher operating expenses and lower reported profits in the period. Consequently, analyzing a firm's investment and performance is a very challenging task even for sophisticated investors. This is particularly important, as about 80% of firms' market value comes, on average, from their intangible assets (Belo et al. 2022). Relatedly, these accounting rules favor investments on tangible investments (buying a machine is an investment, whereas investing in employee wellbeing is considered a cost). More disclosures about the constituents of SG&A expenses would surely be a step in the right direction (Enache and Srivastava 2018).

Electronic copy available at: https://ssrn.com/abstract=4437765

On a higher level, it remains some practical issues in implementing Pieconomics (not applied to the conceptual framework) that could be addressed in more detail. One might wonder how sustainable is the society in which all businesses are run with the "pie-growing" mindset. Isn't that we are increasingly facing critical issues (e.g., global warming, pollution of water, soil, and air) precisely because of business endeavors and innovations most of which would have been surely considered as great examples of "pie-growing" mindset at the time? How can we ensure that new innovations that try to *both* address current challenges and increase profits for shareholders do not create other similar issues? Is it even possible to sustain high growth rates given the finite resources we have in hand? Admittedly, Edmans is clear that his measure of growth is not economic but *social* value growth, favoring higher economic growth that associates with higher social value. However, the same questions would apply to social value growth. Are there no limits to how much social value could be created? One could argue that most innovations and technological progresses (e.g., efficient use of resources) seem to be increasing social value at the firm level, but the potential aggregate increase in consumption as a result of those innovations could cause significant damage to society, i.e., the Jevons Paradox. These are questions/concerns that could have been further discussed in the book.

All in all, Grow the Pie is a thought-provoking book, and is a must-read for anyone regardless of their views towards business social responsibility. I am optimistic that Pieconomics has the potential to enter the mainstream, becoming an integral part of textbooks used to educate not only future business leaders but also future regulators, investors, and citizens.

References

Belo, Frederico, Vito D. Gala, Juliana Salomao, and Maria Ana Vitorino. 2022. 'Decomposing firm value', *Journal of Financial Economics*, 143: 619-39.

Berchicci, Luca, and Andrew A. King. 2022. 'Corporate Sustainability: A Model Uncertainty Analysis of Materiality', *Journal of Financial Reporting*, 7: 43-74.

Enache, Luminita, and Anup Srivastava. 2018. 'Should Intangible Investments Be Reported Separately or Commingled with Operating Expenses? New Evidence', *Management Science*, 64: 3446-68.

Electronic copy available at: https://ssrn.com/abstract=4437765

Friedman, Milton. 1970. 'A Friedman doctrine-- The Social Responsibility Of Business Is to Increase Its Profits', *The New York Times*.

Grant, Adam. 2014. *Give and Take: Why Helping Others Drives Our Success* (Penguin Books).

Khan, Mozaffar, George Serafeim, and Aaron Yoon. 2016. 'Corporate Sustainability: First Evidence on Materiality', *The Accounting Review*, 91: 1697-724.

Pfeffer, Jeffrey 2018. *Dying for a Paycheck: How Modern Management Harms Employee Health and Company Performance—and What We Can Do About It* (Harper Business).

Electronic copy available at: https://ssrn.com/abstract=4437765